One of the reasons for Thimayya's growing unease was that he had received a first-hand account of Chinese activities in Tibet from a very unlikely source: the adventurer Sydney Wignall. Thimayya had recruited the Welshman who wanted to climb Himalayan peaks on the Nepal–Tibet border (although he had almost no mountaineering experience). He was arrested by the Chinese and interrogated. Wignall was unfazed and told them outrageous stories that Coleridge's Kubla Khan was a coded message and that his password, straight out of Welsh rugby, was 'Keep passing to left, boyo'. The Chinese eventually decided that he was mad and let him go —but Wignall reported back to Thimayya that the Chinese were building significant military infrastructure along the border.[14]

With calls for his resignation mounting, Menon decided to promote Brij Mohan Kaul, an officer known to be close to Nehru, to the rank of lieutenant general. Thimayya was furious and threatened to resign. Kaul had not only superseded twelve senior officers but had no field experience. His main experience so far had been in developing real estate on army land. Worse, on 3 October 1962, he was put in charge of defending NEFA!

On 18 October, barely a fortnight after arriving, Kaul complained of chest pains and was evacuated to Delhi. Thus, when the Chinese launched a full-fledged attack on the night of 19 October, the Indian troops were outgunned, outnumbered and leaderless. The Chinese had attacked Ladakh too, but there the Indian army had fallen back to defensible positions and held their ground. In NEFA, however, they were overrun and the Chinese took control of Tawang on 25 October. Here, they halted their advance to construct supply roads. The Indians should have used the time to build up a more defensible position at Bomdila where it would have been easier to resupply from Assam. However, Kaul insisted that the Indians should defend a position farther up at Sela Pass. When the Chinese restarted their advance on 14 November, they simply went around Sela and cut off the Indian troops from behind. There was a massacre and Bomdila fell soon after. When this news arrived in Assam, there was panic. The town of Tezpur was abandoned and even the inmates of the local mental asylum were let loose. In a broadcast, Nehru stated 'My heart goes out to the people